

FEDERAL MARITIME COMMISSION

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TZ SSE BUYER, LLC,

Docket No. 24-10

Complainant,

RESPONDENT'S PROPOSED
FINDINGS OF FACT

-against-

YANG MING MARINE TRANSPORT.
CORP.,

Respondent.

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Pursuant to the Order dated November 15, 2024, Respondent, Yang Ming Marine Transport Corp. ("Yang Ming"), by its attorneys, Mahoney & Keane, LLP, propounds the following Proposed Findings of Fact:

1. Complainant, TZ SSE Buyer, LLC, as the alleged successor-in-interest of Impact Products, LLC and Safety Zone, LLC after their bankruptcy, and as the assignee of non-vessel operating common carrier Laufer Group International ("Laufer") pursuant to an assignment dated April 4, 2024, claims \$1,304,526.00 in demurrage, detention, per diem, and yard storage charges paid to Laufer and purportedly passed on to Yang Ming pursuant to Service Contracts and Sea Waybills running between Laufer, as Shipper, and Yang Ming, as Carrier, from the beginning 2021 through the end 2022. (Amended Complaint, Docket Entry No.15; Assignment, CX 8-12).

2. Complainant seeks to blanket recover the entirety of every single charge paid to Laufer, and assumed to have been passed on to Yang Ming, during the full two-year period, as if not a single one is valid. (Hallett Deposition, RX13) ("Q. Okay. So, am I correct that you're suing for every dollar of charges that Laufer received from Yang Ming? A. During that period, yes. Q. Yeah '21, '22, correct? A. Correct.").

3. However, Yang Ming has confirmed that none of Yang Ming's charges to Laufer at issue in Complainant's claim was ever disputed, either by Laufer's customer or by Laufer. (Supplemental Discovery Responses, RX49-50). No such documents exist, and that fact has been repeatedly expressed to Complainant. Id.

4. Nor has Complainant produced any documentation or other evidence to support a dispute of any specific charges. Complainant's witness testified:

Q. Were there any invoices presented by Yang Ming directly to SSE?

A. Not to my knowledge.

Q. All right. Were all the detention and demurrage invoices that are the subject of the lawsuit in the Federal Maritime Commission against Yang Ming presented by Laufer to SSE?

A. To my knowledge, yes.

(Hallett Deposition, RX20).

Q. All right. If they had some verification process, and they found the charge was improper, would they have done the same, passed it on to Laufer?

A. I don't know that.

Q. Do you have an expectation as to what would have happened in that case?

A. Well, in expectation versus fact, I would expect that they would verify that charge was correct before they passed it onto us.

Q. All right. So, that's another way of saying they would not have passed on improper charges to SSE, that would be your expectation?

A. That would be an expectation, yes.

Q. All right. And did you ever have any instances in respect to the timeframe that the complaint was filed against Yang Ming where SSE went back to Laufer and disputed any detention and demurrage charge?

A. To my knowledge, I would say we would not have disputed.

Q. And is that because you felt they were fair and reasonable?

MR. PACHECO: Objection to form.

A. We had the -- we had the expectation that they would have invoiced us correct.

Q. All right. And did you do any investigation on your own to assure that that was the case?

A. I don't have any specific instances that we did that, but that is not to say that we did not.

Id. at RX21.

Q. All right. And as you sit here today, do you have recollection of any disputes being lodged against Laufer for any yard storage?

A. As I sit here today, I cannot remember one.

Q. Do you have records of disputes filed or presented to Laufer?

A. There would be no filing. It would simply be an e-mail asking a question.

Q. Have you reviewed your records to see if there were any e-mails disputing either yard storage or detention and demurrage charges?

A. Not in these specific cases, no.

Id.

Q. Did anyone at Laufer ever tell you the charges in their assessment that were presented to SSE for detention and demurrage were improper or should not have been presented?

A. I don't believe they told me that directly, no.

Q. How about indirectly?

A. I would not say indirectly, either. Not that I can recall.

Q. Did anybody at Laufer ever tell you that Yang Ming had refused to deal with them at any point in time?

A. They did not tell me that, no.

Id. at RX22.

5. And, as the Bankruptcy Court docket reflects, the claim now asserted does not even appear to have even been declared in the bankruptcy case pursuant to which Complainant succeeded to the rights of Laufer's customers so as to establish that the sale of the assets, in fact, included the present cause of action. See, 24 bk 11054 (Bankr. D. Del.), Docket Entry Nos. 156, 159, 160, 161, 164, 165, 173, 222; see also, Hallett Deposition, RX23-24 ("Q. All right. If I asked you whether the claim by the Complainants in the FMC against Yang Ming was listed as an asset or listed at all in the bankruptcy proceeding, would you be able to answer that? A. No, I would not. I do not know.").

6. Moreover, after full discovery, only three communications involving Yang Ming during this period were produced, and they just generally note the lack of chassis availability occurring sporadically during the period. (E-Mail Exchanges, CX 151-76). But, of course, not every chassis issue or other impediment to timely retrieval and return of containers as a result of the COVID-19 pandemic can be attributed to problems with the ocean terminals, as opposed to the truckers or rail or yard facilities. See supra ¶ 7. And charges can be reduced or waived before invoicing. Id. Simply no evidence has been presented to establish that even one specific charge, let alone all of, the charges comprising the \$1,304,526.00 were invalid and/or attributable to Yang Ming.

7. Yang Ming's witness confirmed that not every charge on Laufer's invoices was necessarily passed through from Yang Ming:

Q. Yeah. I just meant to say: Are you aware based on your review of the Complaint that the Complainant is alleging that Yang Ming charged Laufer a total demurrage, detention, per diem, and yard storage fees in the amount of \$1,304,526 during the relevant period?

A. Okay. I don't think Yang Ming would be charging yard storage. I'm not sure where that is being claimed at, but demurrage, detention, per diem would fall under Yang Ming's service but not yard storage.

(Anki Deposition, at RX27).

A. This is not demurrage charge. This is storage charge at the railroad.

Q. Storage charge at the railroad. Okay.

A. Which is billed by the railroad.

Q. What -- Why wouldn't that -- Why wouldn't that be a demurrage charge as well?

A. Demurrage is at the port.

Q. Okay. So -- So this -- you're saying this has nothing to do then with Yang Ming, they would not have charged anything at this point?

A. No. This is -- This is at the railroad and not -- not at the port.

Q. Okay. So, again, I just want to clarify your testimony here. You're saying that Yang Ming, you know, sending all these reminders to Laufer to pick up a container, they weren't issuing any -- any charges whatsoever or they weren't receiving any -- any proceeds from the charges that were issued to Laufer because this container was -- still had missed the last free day to pick up?

A. Yes. Yang Ming was not charging anything on this. We were just doing a courtesy reminder that the container is still at the railroad.

Id. at RX28.

Q. This -- This is -- This particular case is rail storage as well?

A. Yes, it is rail storage. It is not demurrage.

Q. Okay. So you have nothing to do with -- with these issues whatsoever?

A. It is outside the scope of our business.

Id. at RX29.

8. Nor, it should be needless to say, was every charge necessarily a result of terminal issues which would warrant a waiver or reduction:

Q. So it's not all out -- it's fair to say that it's not, you know, the lack of availability from the trucker just in general, but there are other outside circumstances that prevent them -- prevent them from picking up the containers; is that right?

A. There are -- During -- During these two holidays, New Year's and, you know, Christmas, a lot of drivers go south to Mexico. A lot of them take time off. So the trucker may have low power.

Q. Okay. A. They would not have all power. So that's usually a normal thing.

Id. at RX30.

Q. So based on this e-mail, my interpretation is that, you know, the truckers really -- it wasn't the truckers that, you know, just didn't have availability. Do you read that as -- as -- as that as well, or what's your interpretation?

A. No. That is not accurate. Your statement is not accurate. During the holidays, it is -- plus in Michigan you have weather issues around this time of the year. You have two holidays falling one after the other. It's usually something that happens around New -- New Year's. So this message really tells me that they're still trying to have power or truck power or somebody that can pull it on the 8th, but the congestion and delays continue to cause -- wreck havoc, because it's the holiday congestion, the weather. That's -- That's what it is. It's just an ongoing thing. That's nothing unusual around New Year's, Christmas . . . A lot of -- You have to understand that during the holidays a lot of receiving warehouses close, like, where cus- -- customers are accepting cargo. It's closed because their staff are on holiday, they're not

doing any kind of receiving of new merchandise. Plus there's always in Michigan around this time the weather conditions. Two holidays, one after the other. So this type of congestion that he's mentioning is the usual norm for that time of the year.

Q. So would it be usual in 2021 –

A. Again, a lot of delivery locations, they close. They do not accept cargo between Christmas and New Year's because a lot of their employees or their distribution centers are closed.

Q. And -- And I guess my point is: Would it be usual there would -- would there be usual congestion during this time in 2021 where it was COVID, though? A lot of things were closed. People weren't traveling as much. This was literally, if I'm not mistaken -- or I could be, but this was peak COVID time. So I don't think anyone was allowed to travel or go out of the country or anything.

A. I -- I understand that. However, it -- this type of congestion is the usual without COVID. So COVID may have added some, but it's usual congestion around that time of the year.

Id. at RX31.

9. And the record is clear, with no evidence to the contrary, that, under procedures well known to its customers at the time, Yang Ming was perfectly willing to investigate, negotiate, and resolve any issues raised relative to supply-chain issues beyond shippers' control, had any such problems been raised and supports provided.

A. I don't remember specifically, but I do remember if a client came to us and brought up an issue, it was reviewed and handled as necessary as long as –

Q. And how did a client –

A. -- the facts -- as long as the facts are provided and they did follow the rules of returning an empty.

Q. And how would a client be able to do that?

A. The clients -- The truckers and the clients are advised. They know all the time. This is standard procedure. They contact the steamship line, and they say, We can't return the empty because, let's say, some railroad is not accepting it, Where can we return. And instructions are given accordingly to that trucker or the -- the client. It has to be noted. And if they have -- they cannot return it to an outside location, depot, then per diem is waived.

Q. Okay.

A. But they have to contact and they have to bring facts. And the facts are reviewed, and action is taken accordingly.

Q. Okay. And do you know whether Yang Ming has a policy about contacting them, what type of proof does a customer need to bring, who exactly do they have to contact? Is there a policy? And what is that policy, to your knowledge, if there is one?

A. Yes. There is policy that truckers contact our equipment department who is responsible for empties. And that's a very clear policy, and it's nothing new. It's been done throughout the years, not just COVID years. They would contact our equipment department and say, Hey, we cannot return because so and so says they can't accept empties. And our equipment department would review. Sometimes we're in copy, so we do see that conversation with the client. And they indicate where to return it. And if that cannot be returned, then they file proper waivers.

Id. at RX32.

Q. So -- Okay. So specifically for demurrage, what -- what is the -- is there a written policy that a customer can review to determine what is -- what Yang Ming -- how Yang Ming determines whether to waive a demurrage charge? A. Yes. For demurrage, which is at the port, for example, if the container is not available to pick up because it's buried, the free time does not start until it's available. So if a trucker or a client contacts us and says, Hey, it -- it says that the container is not available because it's under a pile of containers that cannot be retrieved right now, so the demurrage -- there won't be a demurrage actually. There would be a free time extension until the freight is available -- the container is available off of that pile and it's available for the trucker to make an appointment and to go pick it up. So

once the available container is available, off that pile, the clock starts. So it's not going to be any period of time when -- a discharge to the time that it was buried. There is no demurrage. So that's what we would waive.

Q. Okay.

A. That's one of the examples.

Q. So --

A. Another example would be if the trucker contacts the terminal -- Because we don't have visibility of appointments. If the trucker contacts the terminal and they cannot find an appointment within the free time, they contact us. This is part of our daily troubleshooting. We check with the terminal to make sure that no appointments are available. And then once it's confirmed, the -- there is a waiver and the free time is extended until there is an appointment where they can make that appointment and go pick up. So these are just examples of cases where it's part of our daily customer service troubleshooting. Okay. So those are daily things that we -- but the con- -- they -- we have to be contacted. There should be a communication from the client or from the trucker's client explaining what they're experiencing. And we verify those -- information. And then based on that, we do waive it. So we do have daily troubleshooting if there is a contact from the client.

Q. Is there a -- Is there a written policy that a customer can review to, you know, essentially -- essentially know who to contact, when to contact them, what proof they need to show? Is there anything in the service agreements between the customer and Yang Ming --

A. Truckers -- Truckers know all these. This is not -- nothing new. I mean, this has been done pre-COVID. This has been done for 20 years, 30 years. It's nothing new, this policy. Because anytime there is such an event or a terminal error or a terminal issue, then we review, we troubleshoot. But we've got to know about it because we're not at the terminal, we're not with the trucker. The trucker and the terminal have to have that open communication with us for us to review on a daily basis on -- on the spot, not days later or years later. They've got to -- We take care of them. That's part of our customer service troubleshooting.

Id. at RX32-33.

A. It was a unique time, but we still handled every inquiry. As a matter of fact, all of our employees worked during COVID. Even if they had COVID, they still worked from home. We were considered essential, you know, in -- industry by the Government. We did work even during COVID. So if somebody at the terminal did not go to -- to work -- However, our employees all worked. And we did answer every e-mail. We worked on e-mail on premises.

Id. at RX33-34.

A. . . . So in those cases we are notified, but the client has to contact us so we can troubleshoot that and make note of it immediately and extend the free time until the -- the terminal has appointment and they can make that appointment so they can pull that container. So it's very dependent on what the terminal can process. And, again, the client has to contact us immediately and -- for us to be able to troubleshoot because we're customer service and we're -- need to handle daily requests, daily troubleshooting . . . And since we don't have this ability of the appointments, when the client contacts us, we contact the terminal and verify that there are no appointments and the waiver is put. What it is -- It's not a waiver. What we do is we extend the free time. We give them more days for them to pick up without assessing any demurrage charges.

Q. What about when the drivers have to -- waiting in line, essentially, you know, they can't get into port? Is that another instance when Yang Ming would waive a charge?

A. If we don't have proof that they were at the terminal -- Because terminals will let us know if they had that trucker and they didn't service that trucker. The trucker would contact us, provide proof. Because every terminal has a trouble ticket booth at the opening of the terminal. And if they have an issue, they would go there. And we are contacted when there's trouble. And if the -- the terminal has not been able to service that trucker, then we do extend the free time.

Id. at RX35.

Q. My question, Ms. Anki, is: If a trucker is in line at the port or at the terminal but they're unable to get in for various reasons, one of them being the port congestion, how are they able to show proof that they weren't able to get in on their last free day? What -- What -- What would that proof entail if they were never -- weren't able to get in?

A. Okay. First, they have to have an appointment if that's --

Q. Right.

A. -- where they're going in line.

Q. Right.

A. Second, if they're having trouble, then they go to the ticket booth, where the trouble ticket booth is, and they get a trouble ticket so the terminal knows about it. Okay? And based on what they see, the terminals see, with those trouble tickets, if it's -- Because there's a long line, we've seen a lot of the terminals extend the free time, I mean, the -- the hours of operation, extend it by another hour, half an hour. We've seen that multiple times. But it is the decision of the terminal based on the trouble tickets that we receive and what they see is going on in their terminal. They control and manage that. Okay? So if that is the case and they have a trouble ticket, they send it to us. We go back to the terminal and ask them, Are you handling this, Are you helping this. And the terminal will -- will say, It's an issue, We're extending the time, We're going to be opening -- keeping the gate a little bit longer, or We're going to allow the trucker to come the next day to pick up without an appointment. They make those kind of judgment calls and those -- free time is extended. However, we have to have proof that they were there. A trucker who never went into the line, never went to the trouble ticket cannot claim that they were in -- in line and for the terminal to help them.

Q. So can you --

A. The terminal has -- Excuse me. The terminal and us, we need to know what they're experiencing and what the issue is. And we go to the terminal. This is -- as I mentioned, is our daily routine. This is what all of our staff are trained to do, troubleshoot. We go -- We take the facts that the trucker gave us. We go to the terminal and find out what the situation is and what they're going to do. And based on that an extension of free time is given.

And sometimes, as I mentioned, the terminal will even waive having an appointment the next day and handle the priority, that trucker as priority. So it's case by case. We need to hear about it. We need to know about it so we can assist the client, so we keep the fluidity. Because at the end we're trying to get containers moving because there's another vessel that may be coming. It is not to our benefit or the terminal's benefit to hold onto containers and not allow or make it difficult for the containers to be outgating and picking up. That's how we keep the supply chain moving.

Id. at RX36.

Q. . . . I know we talked about Yang Ming has essentially a verbal policy that's been the standard for years about how to dispute these charges. But I just want to clarify that whether -- in the relevant period whether there -- In addition to that general policy, were there any other policies implemented during this time as a result of the pandemic, port congestions, equipment shortages, all of the above?

A. Okay. You mentioned that these are dispute. We discussed the troubleshooting that we do on a daily basis to waive demurrage. We did not discuss what the dispute process, that is, our procedure or -- is in the books or policy for years. A client can still dispute an invoice after they pay, and those charges still are reviewed.

Q. And how -- how is that different then? We talked about troubleshooting and --

A. The troubleshooting is -- It's every day I -- I am helping customer resolve the situation, resolve the problem, take care of them so the containers are moving out. Okay? So if a client feels they want to dispute, they have -- you know, they have the right to do so. They can come and dispute, and that's reviewed.

Q. And how do -- what's -- what's the policy for disputing a charge? Does Yang Ming have a policy for disputing a charge, demurrage charge, for example?

A. Yeah. A client can dispute, but it's all reviewed. The facts have to be -- you know, backup provided. There's -- You know, all that is done, and as necessary, actions are taken accordingly.

Q. And –

A. And deliver all the backup, or necessary proof must be given to them.

Q. Is there a method to dispute a charge? How would a client dispute a charge? What would be the steps that they need to do?

A. They contact their salespeople. They can contact customer service, and they can do all that.

Id. at RX37.

Q. But there's no website or any particular -- any particular e-mail that solely focuses on disputes, a link to, you know, file a dispute? It's more you have to reach out to Yang Ming generally? Is that what it is or –

A. During -- During -- During COVID that was the process. Right now there is a link, there is instructions on the web site.

Q. Got it.

A. You know, we have a lot of that. However, during COVID the process was the same as what was pre-COVID, which was the client has the right to dispute. And usually because we are customer service, they -- they are in communication with us all the time. So we would be the ones receiving it. The other avenue is sales. If they feel like they want to go to sales, you know, they have the right to do that. It's -- It's done. But we communicate with them. They know us on a daily basis. We're working with them. So they each reach out to us. And, you know, it's always, you know, welcomed by customer service to have that. We're here to hear the concerns.

Id. at RX38.

Q. Lastly -- and this is my last question -- do you know whether customers were offered alternative solutions in order to reduce their exposure to demurrage and detention charges? And, for example -- the few examples I can give you are, you know, temporary storage, extending the free day period. Would -- Would those be things that Yang Ming would do during the relevant time period?

A. Like we discussed, if there were daily double -- troubleshooting cases where it qualified, it was errors of the terminal, operation issues, those free times were extended automatically, as it's our procedure. It -- It does not matter if it was during the pandemic or not. It's our procedure. We did that before, and we still do it even after. So it -- you know, as far as detention, per diem, I know many times outside locations, outside -- empty lots were available for clients. If they could not return it to the terminal, they could return it to those yards. And so those were alternatives then offered. Again, the client has to contact -- the trucker has to contact equipment and say, I am not able to return it because the terminal may not accept it or for some reason, I have the empty, but I'm ready to return it. So alternative location was provided. If they don't contact, they would not know where to return it. So that is a requirement that a trucker or an accountant must do.

Id. at RX39.

10. Complainant thus improperly relies on the purported expert opinion of John McCown which:

admittedly declines to consider the actual demurrage and detention ("D&D") invoices and charges at issue produced in detail by YMMT and the complete lack of evidence from the Complainant as to how, if at all, Complainant was prevented from complying with its equipment interchange obligations. Rather, he engages in a convenient "macro" analysis of his own invention in an effort to identify in YMMT's aggregated financial data purported historical over or under performance so as to indicate some sort of nefarious scheme to overcharge for D&D in a manner which was purportedly excessive by industry standards. But his approach is so overbroad and lacking in any reasonable effort to tailor the focus to the particular circumstances involved in this dispute as to be misleading at worst, and practically worthless at best. When the specific charges at hand are properly assessed, the record confirms that no proof whatsoever of any fault on the part of YMMT has been adduced and simply nothing untoward occurred here.

Additionally, apparently based on nothing more than his "hands on experience," Mr. McCown seems to adopt conclusions of law which are at odds with those of the FMC, the courts, and the common understandings of maritime actors. He challenges Yang Ming's standard D&D rates as excessive relative to cost and world-wide industry averages, while YMMT's

D&D rates were, in fact, comparable to competitors in the US market. We must also be mindful that these rates were agreed by the parties as a matter of contract, are in accordance with the published tariff, relate directly to expenses in the concerned trades, and assist the incentive principle in increasing supply chain fluidity.

(Vogt Report, RX53-78; McCown Report, CX 280-324).

11. Yang Ming's expert thus concluded:

In summary, therefore, I believe Mr. McCown's conclusions are based on faulty assumptions and flawed reasoning. No "excessive" accessorial charges were, in fact, assessed by YMMT, and Complainant's claim has been padded by not-"inconsequential" charges from third-party intermediaries. And, in the absence of any evidence to meet its burden of proving that the D&D charges were invalid, Complainant attempts through the sorry expedient of this "expert" opinion to establish a violation based on nothing more than a statistical analysis. I'm not convinced such an approach should ever suffice with respect to an inquiry into the propriety of such D&D charges under the Shipping Act.

But, even assuming *arguendo* a statistical analysis might inform a decision in this kind of case, simplistic, over-broad, non-narrowly-tailored, industry-wide earnings comparisons are demonstrably inadequate. World-wide industry statistical analysis is a wrongheaded approach, when industry statistics in the United States shipping market in which the Complainant actually participated as a sophisticated shipper are available and directly contradict it. When the data is parsed, and the types of D&D charges at issue are compared to similarly situated carriers with respect to similarly situated trades, any alleged disparity with respect to YMMT vanishes and the claim remains wholly empty.

(Vogt Report, RX53-78).

12. Indeed, such a conclusion is now further bolstered by the subsequent disclosure that Complainant has not just brought an FMC claim against Yang Ming, but also at least five other carriers. (Assignment, CX 8). The fact that Complainant has asserted such Shipping Act violations against apparently every other carrier it used surely belies any suggestion that Yang Ming's practices were somehow at odds with others in these trades. Id.

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Respectfully submitted,

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